

3. How much should it be?

Having an emergency fund is vital for financial stability, but figuring out the right amount to save can be tricky.

While the general rule of thumb is to save **6-12 months** worth of your monthly expenses, the ideal amount you need depends on your individual circumstances.

One of the main factors to consider is your income. If you have a steady, reliable income, you may be able to get by with a smaller emergency fund. On the contrary, if your income is variable, it's wise to aim for a larger emergency fund to shield yourself during leaner times.

